

EQUITY RESEARCH · COMPANY DEEP DIVE

Eli Lilly and Company (LLY.US)

Healthcare · Drug Manufacturers - General

Large Cap (>\$200B) · Report Date: June 27, 2026

Latest financials: Q4 FY2025 · Model data as of 2026-06-27

HOLD

Blended Target: \$1235.78

DCF + Comps + Analyst (see cross-check table)

Implied upside: +2.3%

Price (Jun): \$1208.12

INVESTMENT HIGHLIGHTS

- **HOLD** — blended target \$1235.78 (+2.3% vs \$1208.12); Comps 80% + Analyst 20% valuation after outlier checks.
- Strong revenue growth; high operating margins; weak roe; positive fcf generation
- Simon FCFE DCF not used in target (low FCFE yield / growth equity); rely on comps where shown; analyst used only if not stale.

INVESTMENT THESIS / EXECUTIVE SUMMARY

Eli Lilly and Company (LLY) — Healthcare. Eli Lilly and Company discovers, develops, manufactures, and markets human pharmaceutical products in the United States, Europe, China, Japan, and... **HOLD** rating; blended target \$1235.78. See Investment Highlights above and valuation cross-check on page 2.

KEY DATA & MARKET HIGHLIGHTS

| Item          | Value                | Item         | Value   |
|---------------|----------------------|--------------|---------|
| Market Cap    | \$1.08T              | Shares Out.  | 891.7M  |
| 52-Week Range | \$623.78 – \$1215.76 | P/E (TTM)    | 42.9x   |
| P/B           | 34.6x                | Beta         | 0.52    |
| Avg Volume    | 3.29M                | Analyst Rec. | Buy     |
| Revenue (TTM) | \$72.25B             | Rev Growth   | +55.5%  |
| Op. Margin    | 49.4%                | FCF (TTM)    | \$5.96B |



FINANCIAL & VALUATION SUMMARY

(USD millions except per-share; E = forecast)

| Metric                  | FY 2024A | FY 2025A | FY 2026E | FY 2027E | FY 2028E |
|-------------------------|----------|----------|----------|----------|----------|
| Revenue (\$M)           | 45,043   | 65,179   | 101,353  | 141,489  | 181,771  |
| Revenue Growth (%)      | N/A      | 44.7%    | 55.5%    | 39.6%    | 28.5%    |
| Net Income (\$M)        | 10,590   | 20,640   | 32,095   | 44,805   | 57,561   |
| Net Income Growth (%)   | N/A      | 94.9%    | 55.5%    | 39.6%    | 28.5%    |
| Gross Margin (%)        | 81.3%    | 83.0%    | 82.8%    | 82.8%    | 82.8%    |
| Net Margin (%)          | 23.5%    | 31.7%    | 31.7%    | 31.7%    | 31.7%    |
| ROE (%)                 | 74.2%    | 77.8%    | 121.0%   | 153.2%   | 187.4%   |
| EPS (\$)                | 11.88    | 23.15    | 35.99    | 50.24    | 64.55    |
| Book Value / Share (\$) | 16.00    | 29.76    | 29.76    | 32.81    | 34.45    |
| P/E (x)                 | 101.73   | 52.20    | 33.57    | 24.04    | 18.72    |
| P/B (x)                 | 75.49    | 40.60    | 40.60    | 36.83    | 35.07    |
| Dividend Yield (%)      | 57.0%    | 57.0%    | 57.0%    | 57.0%    | 57.0%    |

VALUATION CROSS-CHECK

| Valuation Method                                       | Implied Price | vs. Current | Weight in Target | Notes                                                             |
|--------------------------------------------------------|---------------|-------------|------------------|-------------------------------------------------------------------|
| DCF (Simon FCFE)                                       | \$246.56      | -79.6%      | 0% (excluded)    | DCF implied price < 35% of market (capex-heavy or distorted FCFE) |
| Profile template weights                               | —             | —           | —                | Standard operating company: DCF 32%, Comps 53%, Analyst 15%       |
| Comps — P/E (peer median, trailing EPS)                | \$925.44      | -23.4%      | —                | Peer median P/E 32.9x                                             |
| Comps — P/E (peer median, forward EPS)                 | \$1462.24     | +21.0%      | —                | Forward EPS × peer median P/E                                     |
| Comps — 52-week range anchor                           | \$1015.89     | -15.9%      | —                | Tri-mean of 52w high, low, and current (large cap)                |
| Comps — EV/EBITDA (peer median)                        | \$481.62      | -60.1%      | —                | Peer median 14.7x                                                 |
| Comps — P/S (peer median)                              | \$453.44      | -62.5%      | —                | Peer median P/S 5.6x                                              |
| Comps — Blended (median of multiples + uplift anchors) | \$1239.06     | +2.6%       | 80%              | Included in blend                                                 |
| Analyst consensus (Yahoo Finance)                      | \$1222.62     | +1.2%       | 20%              | Included in blend                                                 |
| Blended target (weighted)                              | \$1235.78     | +2.3%       | 100%             | Comps 80% + Analyst 20%                                           |
| Audit (≥30% vs price)                                  | —             | —           | —                | Triggered ( upside  ≥ 30%)                                        |

DCF VALUATION SUMMARY (SIMON FCFE)

| Item                | Value     |
|---------------------|-----------|
| Ke (cost of equity) | 7.50%     |
| Terminal g          | 1.50%     |
| FCFE growth         | 19.43%    |
| Base FCFE           | \$5.96B   |
| PV explicit (5Y)    | \$42.86B  |
| PV terminal         | \$177.01B |
| Equity value (adj.) | \$219.87B |
| Implied price       | \$246.56  |
| vs. current         | -79.6%    |

INDUSTRY ANALYSIS

1. Industry Overview

Eli Lilly and Company discovers, develops, manufactures, and markets human pharmaceutical products in the United States, Europe, China, Japan, and internationally. The company offers cardiometabolic health products, including Basaglar, Humalog, Humalog Mix 75/25, Humalog U-100, Humalog U-200, Humalog Mix 50/50, insulin lispro, insulin lispro protamine, insulin lispro mix 75/25, Humulin,...

2. Key Trends

- Strong top-line growth (55.5% YoY)
- High operating leverage (49.4% margin)
- Defensive profile (β=0.52)
- Sector: Healthcare | Industry: Drug Manufacturers - General

3. Risk Factors

- Elevated leverage (D/E: 139%)
- Premium valuation (P/E: 42.9x)

COMPETITOR ANALYSIS

| Ticker | Company               | Market Cap | P/E    | EV/EBITDA | Net Margin | Rev Growth |
|--------|-----------------------|------------|--------|-----------|------------|------------|
| MRK    | Merck & Company, Inc. | \$317.77B  | 36.2x  | 12.2x     | 13.6%      | +4.9%      |
| ABBV   | AbbVie Inc.           | \$447.62B  | 123.6x | 17.1x     | 5.8%       | +12.4%     |
| PFE    | Pfizer, Inc.          | \$138.44B  | 18.5x  | 7.5x      | 11.8%      | +5.4%      |
| JNJ    | Johnson & Johnson     | \$613.02B  | 29.5x  | 18.8x     | 21.8%      | +9.9%      |
| LLY*   | Eli Lilly and Company | \$1.08T    | 42.9x  | 30.8x     | 35.0%      | +55.5%     |

\* Subject company. Commands premium p/e vs peers; stronger profitability than peers. Strong revenue growth; high operating margins; weak roe; positive fcf generation. Source: Yahoo Finance. Not investment advice.